

ARTICLE XII

OBLIGATIONS OF THE OWNERS

12.1 Assessments. All owners shall be obligated to pay the monthly assessments imposed by the Association to meet the common expenses, which shall be due monthly in advance. A member shall be deemed to be in good standing and entitled to vote at any annual or at a special meeting of members, within the meaning of these By—Laws, if, and only if, he shall have fully paid all assessments made or levied against him and the condominium unit owned by him.

12.2 Notice of Lien or Suit. An owner shall give notice to the Association of every lien or encumbrance upon his condominium unit, other than for taxes and special assessments, and notice of every suit or other proceeding which may affect the title to his condominium unit, and such notice shall be given within five (5) days after the owner has knowledge thereof.

12.3 Maintenance and Repair. (a) Every owner must perform promptly at his own expense all maintenance and repair work within his own unit which, if omitted, would affect the Property, or any part thereof. (b) All the repairs of internal installations of the unit (as defined in the Declaration) shall be at the owner's expense. (c) An owner shall be obligated to reimburse the Association promptly upon receipt of its statement for any expenditures incurred by it in repairing or replacing any general or limited common element damaged by such owner's negligence or by the negligence of his tenants or agents or guests.

12.4 Mechanic's or Materialmen's Lien. Each owner agrees to indemnify and to hold each of the other owners harmless from any and all claims of

mechanic's or materialmen's liens filed against other condominium units and the apparent common elements for labor, materials, services or other products incorporated in such owner's condominium unit. In the event such a lien is filed and/or a suit for foreclosure of mechanic's or materialmen's lien is commenced, then within ten (10) days thereafter such owner shall be required to deposit with the Association cash or negotiable securities equal to double the amount of such claim plus interest for one (1) year together with a sum equal to ten per cent (10%) of the amount of such claim but not less than One Hundred Fifty and No/100 Dollars (\$150.00), which latter sum may be used by the Association for any costs and expenses incurred, including attorney's fees incurred for legal advice and counsel. Except as is otherwise provided, such sum or securities shall be held by the Association pending final adjudication or settlement of the claim or litigation. Disbursement of such funds or proceeds shall be made by the Association to insure payment of or on account of such final judgment or settlement. Any deficiency, including attorney's fees incurred by the Association, shall be paid forthwith by the subject owner, and his failure to so pay shall entitle the Association to make such payment, and the amount thereof shall be a debt of such owner and a lien against his condominium unit may be foreclosed as is provided in Paragraph 24 of the Declarations. All advancements, payments, costs and expenses, including attorney's fees, incurred by the Association shall be forthwith reimbursed to it by such owner, and such owner shall be liable to the Association for the payment of interest at the rate of one percent (1%) per annum below the then highest legal rate of interest for individuals on all such sums paid or incurred by the Association from the date of payment by the Association until the date of repayment by such owner.

12.5 General. (a) Each owner shall comply strictly with the provisions of the Condominium Documents. (b) Each owner shall always endeavor to observe and promote the cooperative purposes for the accomplishment of which this condominium project was developed.

12.6 Use of Units - Internal Changes. (a) All units shall be utilized only for residential purposes except as is otherwise provided in the Condominium Documents. (b) An owner shall not make structural modifications or alterations to his unit or installations located therein without the written approval of the Association. The Association shall be notified in writing of the intended modifications through the Managing Agent, or if no Managing Agent is employed, then through the President of the Association. The Association shall have the obligation to answer an owner's request within thirty (30) days after such notice, and failure to do so within such time shall mean that there is no objection to the proposed modifications or alterations.

12.7 Use of General Common Elements and Limited Common Elements. Each owner shall use the general common elements and the limited common elements, in accordance with the purpose for which they were intended without hindering or encroaching upon the lawful rights of the other owners.

12.8 Right of Entry. (a) An owner shall and does grant the right of entry to the Managing Agent or to any other person authorized by the Association in case of any emergency originating in or threatening his unit, whether the owner is present at the time or not. (b) An owner shall permit other owners, or their representatives, to enter his unit for the purpose of performing installations, alterations or repairs to the mechanical, electrical or utility services which, if not performed, would affect the use of other

unit(s) provided that requests for entry are made in advance and that such entry is at a time convenient to the owner. In case of an emergency, such right of entry shall be immediate.

12.9 Rules and Regulations. (a) The initial rules and regulations (the “Rules and Regulations”) which shall be effective until amended or supplemented by the Association, are annexed hereto and made a part hereof as Schedule B. (b) The Board of Directors, pursuant to Section 5.3(b) of these By—Laws, reserves the power to establish, make and enforce compliance with such additional house rules as may be necessary for the operation, use and occupancy of this condominium project with the right to amend same from time to time. Copies of such Rules and Regulations shall be furnished to each unit owner prior to the date when the same shall become effective.

12.10 Destruction or Obsolescence. Each owner, upon becoming an owner of a condominium unit, thereby grants his power of attorney in favor of the Association, irrevocably appointing the Association his attorney—in-fact to deal with the owner’ s condominium unit upon the damage, destruction or obsolescence of any common or limited common element physically made a part of or incorporated into such unit including, without limitations, the roofs, walls, foundations and utility lines and connections.